DEFINITION

All economic activities of an economy which take place in foreign currency fall in sectors such as export, import, foreign investment, external debt, current account, capital account, balance of payment, etc. to name a few (***definition***).[1]

FOREIGN CURRENCY ASSETS

The sum total of all the foreign currencies an economy possesses at a particular time is its foreign currency assets/reserves.[2] As per the Ministry of Finance, India's total foreign exchange reserves (comprising foreign currency assets, gold reserves, SDRs and Reserve Tranche in IMF) was at US $ 304.8 billion on March 31, 2013 ($ 294.4 billion on March 31, 2012).

The total capacity of an economy to manage liquid foreign exchange is its foreign exchange (Forex) reserve. This contains basically three components —the foreign currency assets, the total gold reserves and the total special drawing rights (SDRs) of an economy in the IMF.[3]

FIXED CURRENCY REGIME[4]

A method of regulating exchange rates of world currencies brought by the IMF. In this system exchange rate of a particular currency was fixed by the IMF keeping the currency in front of a basket of importanft world currencies (they were UK£, US $, Japanese ¥, German Mark DM and the French Franc FFr). Different economies were supposed to maintain that particular exchange rate in future. Exchange rates of currencies were modified by the IMF from time to time.

FLOATING CURRENCY REGIME[5]